

Agent Selection & Commission Negotiation Checklist — New South Wales

Choosing the right agent, and understanding what you're actually agreeing to.

Correct as at July 2026. General information only, not legal advice.

Section 1 — Shortlisting Agents

- ☐ [] **Interview at least 3 agents** and compare their recent comparable sales in your specific suburb.
- ☐ [] **Ask for a genuine appraisal, not just the highest number.** Cross-check any appraisal against real recent comparable sales — inflated appraisals to win a listing are a known industry issue.
- ☐ [] **Ask how they'll market the property** and get this in writing as part of your agreement.
- ☐ [] **Check their recent track record for your specific property type.**
- ☐ [] **Ask directly about any referral relationships** with conveyancers, stylists, or other service providers, and whether they receive a fee for those recommendations.

Section 2 — Understanding the Agency Agreement

- ☐ [] **Understand this is a legally binding contract governed by the Property and Stock Agents Act 2002** — read every clause, not just the commission rate.
- ☐ [] **Check the commission structure and confirm it's negotiable** — commission rates in NSW aren't fixed or regulated at a set percentage.
- ☐ [] **Clarify exclusive vs. open listing terms** and how long any exclusive period runs.
- ☐ [] **Check marketing cost responsibility** — confirm upfront whether marketing costs are included in commission or charged separately, in writing.
- ☐ [] **Understand the agent's obligation to give a reasonable estimated selling price.** Under the Property and Stock Agents Act, the agent must provide a genuine, reasonable estimate (supported by comparable sales) in your agency agreement, and must revise it as market conditions change — this exists to protect you as much as buyers, since a deliberately low estimate to attract more interest also affects your negotiating position.

Section 3 — Underquoting Obligations Work in Your Favour Too

- ☐ [] **Know that underquoting protections exist for a reason beyond buyer protection** — an agent who consistently underquotes to generate inflated buyer interest can also distort your campaign and expectations. A reasonable, well-supported price estimate serves you better than an artificially low one designed purely to generate inquiry volume.
- ☐ [] **Understand the penalty exposure.** The maximum penalty for underquoting under the Property and Stock Agents Act 2002 is **\$22,000** — a genuine deterrent that should be reflected in how seriously your agent treats their price estimate obligations.

Section 4 — Choosing Your Method of Sale

- ☐ [] **Compare auction vs. private treaty for your specific property and market conditions.**
- ☐ [] **If going to auction, understand there's no cooling-off period for the buyer** once the hammer falls — this affects buyer psychology, which your agent should be able to explain.
- ☐ [] **Confirm your Contract of Sale is prepared and ready before marketing begins** — since NSW requires the vendor to prepare this upfront, delays here can hold back your entire campaign.

Section 5 — Before You Sign

- ☐ [] **Have a solicitor review the agency agreement** if you're at all uncertain.
- ☐ [] **Clarify the termination process** — what happens if you want to change agents partway through the listing period.
- ☐ [] **Confirm who's preparing your Contract of Sale and s10.7 certificate** — organise this in parallel with appointing your agent, not after.
- ☐ [] **Ask for references from recent vendors**, not just buyer testimonials.

Quick Reference — Key Points on NSW Agent Agreements

ITEM	DETAIL
Commission rates	Not fixed/regulated — negotiable
Governing legislation	Property and Stock Agents Act 2002 (NSW)
Underquoting penalty	Maximum \$22,000
Estimated selling price	Must be reasonable, comparable-sales-supported, and revised as needed
Contract of Sale	Prepared by vendor's solicitor before marketing begins

